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funds of ₹1,000 crore or more can become resolution applicants (RA) in the IBC process. But there is a catch: ARCs are financial sector entities... so, if these ARCs have tie-ups with strategic investors—I am not talking about financial investors—they can become RAs along with those investors. Then... the strategic investor through the ARC platform can make the payment for the resolution plan. And this debt, which will come from the lenders to the ARC, can be restructured over a period of time, which is beneficial to all the stakeholders.

Q: Will the next NPA cycle emerge from the retail and MSME sectors?

A: When all banks and financial institutions move into a particular segment or a specific group of segments, there is always a risk of overcrowding. Currently, every institution is joining the bandwagon to lend to retail and MSMEs, so stress is inevitable. RBI has recently introduced higher risk weights or higher capital requirements for unsecured retail loans. It has also asked banks to tighten their risk management for unsecured loans.

If competition grows in a segment or group of segments, there will be some dilution of credit standards. The first dilution occurs in the loan-to-value ratio. The second dilution involves accepting lower credit scores. This phenomenon is not limited to a single geography. We saw this in the US during the global financial crisis. We anticipate that slippages will start in the MSME sector... [as it] doesn't have as deep pockets or easy access to debt capital or the capital market as large corporations... MSMEs rely primarily on bank debt or NBFC debt, leading to a high debt-to-leverage ratio. When their leverage ratio is high, events such as Covid-19, demonetisation, or other external factors can easily have an impact.